

A literature review:

Digital marketing in SMEs (impact on performance)

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1. INTRODUCTION

Digital marketing is defined by Jadhav et al. (2023) as a manner of selling and promoting goods and services through utilizing digital platforms that focus on online publicity to engage with customers. Digital marketing makes searching and acquiring product information simpler and easier through the internet. With the rapid changes in consumer behavior in the digital era, digital marketing is a necessity for entrepreneurs including Small and Medium Enterprise (SMEs) to fully understand and apply effectively to ensure growth, sustainability, and competitiveness in a digitally evolving marketplace (Rahim Thaha et al., 2021). Digital Marketing unlocks more opportunities, like reaching the target market without any geographical or time restrictions.

A focused analysis of literature concerning how digital marketing affects SME performance is crucial as it covers an important gap between theoretical knowledge and real-world application. It allows researchers to comprehend more thoroughly the way digital tools affect business growth, competitiveness, and behavior in resource-constrained settings. In an increasingly digital economy, it provides practitioners with evidence-based insights into which digital methods provide measurable outcomes, facilitating more informed, flexible, and economical decision-making. The purpose of this review of the literature focuses on examining the use of digital marketing among

small and medium-sized businesses (SMEs) and evaluating how these practices affect their overall performance.

The literature covers advanced digital marketing concepts in the context of SMEs, including omnichannel marketing, digital value creation, and customer engagement. Qualitative empirical studies that evaluate the impact of digital marketing on SME performance are included. Excluded are non-peer-reviewed materials unless they are theoretically problematic, studies on big businesses, conventional marketing, or antiquated methods. EBSCOhost, ProQuest, and Google Scholar were among the databases used to choose literature from 2018 to 2025. The review is organized thematically, including definitions and important terms, theoretical frameworks, empirical data, and a critical assessment of the literature's similarities, weaknesses, and opposing viewpoints.

2. LITERATURE REVIEW

2.1 Advanced Marketing Concepts in the Digital Age

The digital transformation reestablishes the foundations of modern marketing, especially to SMEs competing in dynamic markets (Matarazzo et al., 2021). Several elements of the literature are about digital marketing features and include several advance marketing concepts that are essential to understand the role of Digital Marketing to SMEs. Among these, digital value creation, customer engagement, and omnichannel marketing emerge as essential marketing concepts (Kraus et al., 2021; Rahim Thaha et al., 2021).

Digital value creation is defined by (Fransson & Frisk, 2022) as any creation of products and services based on characteristics desired by consumers collected from digital information and social media platforms. Digital value creation is attained through

the right innovation strategy which is accomplished by taking actions from the activities of the market. Innovation strategy empowers entrepreneurs to oversee the competition, collect customer market information, utilize entities resources and make efficient investments in R&D. Digital value creation in SMEs often occurs in the form of cost-effective developments, including establishing lightweight e-commerce platforms which broaden reach without needing significant investment or utilizing data analytics to customize micro-campaigns.

Customer engagement is a constant and profound interaction between the business and its customers from various types of medium (Lim et al., 2022). It focuses on establishing connections, credibility, and connection with others rather than just transactions. Customer engagement through email, social media, or recognized communities can greatly improve word-of-mouth advertising, retention, and loyalty for SMEs. For small businesses, a high level of engagement can result in dedicated brand advocates (Kozhushnyi, 2025)

According to Mateus (2021), Omnichannel marketing is simultaneous use of all the channels that connect the brand and the consumer to enable a similar purchasing experience across multiple channels. Omnichannel marketing integrates contacts to ensure seamless platform transitions for clients, in contrast to multichannel approaches that function in isolation. SMEs that implemented Omnichannel marketing show better conversion rates, customer satisfaction, and more efficient engagement.

The literature demonstrates a transition from conventional, one-way communication methods to marketing strategy for better decision making (Mateus, 2021). SMEs are using search engine optimization techniques, influencer collaborations, and social media campaigns to reach target audiences (Mateus, 2021; Zhang, 2021). For

example, a small business may start a Facebook campaign for a few dollars, while print advertising requires higher budgets and lead times.

2.2 Theoretical Frameworks Underpinning Digital Marketing in SMEs

2.2.1 Resource-Based View (RBV)

Resource-Based View (RBV) framework states that a company's unique resources and capabilities are the source of its long-term competitive advantage (Barney, 1986; Madhani, 2010). Digital marketing is only useful to SMEs if they have the capacity to implement and utilize them efficiently (Rahim Thaha et al., 2021). An SME's ability to convert investment in digital technologies into performance improvements is determined by a combination of technology knowledge, organizational procedures, and human capital (Jadhav et al., 2023; Matarazzo et al., 2021). According to RBV, two SMEs with the same platforms may have different results if one company lacks the knowledgeable staff or stimulating culture necessary for incorporating digital capabilities into strategy.

2.2.2 Technology Acceptance Model (TAM)

The Technology Acceptance Model is defined by Ritz et al. (2019) as a behavioral theory that proposes an individual's perceptions of ease of use and utility are the factors of adoption of technology and operational adoption. According to TAM, when it comes to SMEs' adoption of digital marketing, entrepreneurs will choose solutions that are simple to use and that they think might boost sales, attract new clients, or increase productivity. While limitations like limited resources, conflicts of interest, and difficult learning curves may reduce perceived use cases, proven case studies or help

from suppliers can increase usefulness and affect the adoption decision in favor of digitalization.

2.3. Empirical Findings on Digital Marketing and SME Performance

According to the literature, digital marketing greatly improves SME performance in a number of areas. SMEs utilize digital tools to provide more individualized, responsive, and affordable offerings under the digital value creation. Research demonstrates how digital platforms allow for efficient product development, focused advertising, and affordable nationwide reach (Iyelolu et al., 2024; Kozhushnyi, 2025; Lepkowska-White et al., 2019). Better value propositions increased operational flexibility and better return on investment are the results of this (Falasca & Piven, 2020). However, most SMEs do not take advantage of social media focus advertising which limits the effectiveness of digital value creation (Saiyed et al., 2024).

Empirical results indicate that SMEs who regularly employ email campaigns and social media have stronger customer relationships in terms of customer engagement (Kozhushnyi, 2025). These techniques use constant and reciprocal communication to build brand loyalty and trust (Falasca & Piven, 2020; Lim et al., 2022; Zhang, 2021). Qualitative studies also highlight the importance of feedback channels which enable SMEs to improve customer satisfaction. Improved brand image and repeat business are frequently correlated with increased levels of engagement. However, a small amount of businesses do not fully engage with customers (Lepkowska-White et al., 2019). The SMEs usually post their product/service offerings to social media and other marketing platforms but neglect having an engagement with the targeted customers.

Omnichannel marketing enhances seamless experiences for customers across digital and physical platforms (Kraus et al., 2021; Matarazzo et al., 2021; Mateus, 2021).

SMEs who use integrated platform strategies show increased conversion rates and client retention (Matarazzo et al., 2021). According to Mateus (2021), decision making is improved by data unification across channels which enables campaign customization and modifications. Digital channels also provide flexibility as many SMEs use online booking platforms or chatbots to increase accessibility and enhance customer service (Matarazzo et al., 2021). However, only a few small business owners have adopted Omnichannel marketing as most of the business are not ready to fully embrace this due to knowledge constraints (Lepkowska-White et al., 2019).

These findings show that digital marketing increases productivity, improves client relationships, and expands market reach. All of which help SMEs become more competitive. However, the degree of influence varies according to local infrastructure, digital capabilities, sector, and company size. Although the literature supports the importance of digital adoption, it also emphasizes that resource alignment, continuous engagement, and digital marketing training are necessary for long-term performance advantages (Jadhav et al., 2023).

3. CONCLUSION

The literature presents a combination of key themes, i.e. digital marketing provides SMEs significant benefits. For instance, Digital Marketing widens the reach of SMEs' social presence leading to increases in customer engagement. From positive customer engagement, customer information and preferences are collected and transformed for digital value creation. With the development of product from digital value creation and positive reviews from customers, Omnichannel marketing strategy is effective to apply to boost the customer reach. Better customer connections and potential customer growth increase business income (Rahim Thaha et al., 2021).

However, achieving results requires effective strategy and capabilities development. Most studies and literature focused on social media, websites and SEO as a channel of digital marketing (Rahim Thaha et al., 2021) and have limited information on other mediums like email marketing. For instance, email marketing is a most effective marketing strategy in New Zealand that SMEs use (Falasca & Piven, 2020). The reason for this is SMEs in New Zealand have concerns on adopting social media because of the customer reviews and opinions that might affect their brand reputation. In addition, SMEs in New Zealand lack expertise and experience which is crucial to manage the positive and negative impacts of open communication and customer power. This is related to the Resource based view and Technology Acceptance model which emphasizes the importance of internal and human resources of SMEs to convert into good brand reputation and increase in business profits. Thus, choosing the right digital marketing channel is important to identify and utilize as it differs per region. Although social media presence is growing in New Zealand, SMEs need to overcome the barriers to maximize the potential of social media. Overall, the research supports the potential of digital marketing for SMEs, but it is not one size that fits all type of marketing strategy. To have an effective adoption of digital marketing, a marketing strategy is essential like the development of digital capabilities through digital marketing training (Kurniawan et al., 2019).

There are numerous implications for SMEs in New Zealand. Based on the focused group of Falasca & Piven (2020), participants agree that social media training is beneficial for adoption. However, marketing training is not the primary focus of small business owners as they are financially constrained and have a lack of time for training. Also, the focused group of Falasca & Piven (2020) is limited to a few industries like wedding retail shops, training centers, health and wellness and business solutions.

Future studies should focus on case studies from a variety of industries in New Zealand and look at supporting the digital skills of SMEs. In the context of New Zealand and beyond, this report will fill in the remaining gaps and help practitioners use digital marketing to gain a sustainable competitive advantage.

This study has many inherent limitations that may be addressed in future studies. First, there are no static generalizations because the study is based on a multiple case study approach. Since the majority are from Southeast Asia and the United States, more research is required to increase the number of case studies by including SMEs that operate in other countries. SMEs in developed countries have access to high-speed infrastructure and market reach; while in rural or emerging markets, connectivity issues and inconsistent vendor support are common (Jadhav et al., 2023; Rahim Thaha et al., 2021). Smaller micro enterprises typically utilize one or two marketing channels while larger SMEs have the capability to implement Omnichannel systems to increase their reach. Secondly, the literature may not be representative of all owners and managers who use digital marketing for their small firms because of the small sample size.

4. REFERENCES

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